



**MUKHERJEE
WITH PSU
BANK CHIEFS**



“ ICICI Bank has cut lending rates by 150 bps. We expect an improvement in corporate and retail loan demand. ”

CHANDA KOCHHAR, MD & CEO, ICICI Bank

lending rates by 150 basis points in tune with the policy cuts. “We expect to see improving retail and corporate loan demand, and are focused on pursuing lending opportunities in our key product segments,” assures Kochhar.

Naina Lal Kidwai, CEO, HSBC India, says bank lending will remain conservative till the savings rate in the country does not change. The NSS and Provident Fund rates have to change too, because the deposits that banks take after all compete with these schemes. So if these rates are 8-9 per cent, bank deposit rates cannot be lower than them. For Kidwai, however, the bigger obstacle to lending is growing NPAs. “NPAs across the banking sector have doubled,” she says. “And ironically or unfortunately, NPAs have been rising

in the MSME sector which is in dire need of credit. Many MSMEs are export-oriented and they were hurt the most. But banks face a dilemma. On the one hand, there is a need for lending to SMEs and on the other a need to curb NPAs in this sector.”

Growth in advances to micro and small enterprises declined sharply to 35.4 per cent by February 2009 as against 67.4 per cent in the corresponding period a year ago with banks wary about the rise in NPAs during the economic slowdown, according to industry officials. “Even though we are a priority sector, we find it difficult to get funds. Banks are not keen on lending to the sector,” says Anil Bhardwaj, secretary-general of Federation of Small and Medium Enterprises. A common woe of SMEs is that nationalised or even co-operative banks take four to five months

just to review their proposals. In the first stimulus package, Rs 20,000 crore was allocated for the sector, another Rs 7,500 crore in the next, but the target has not been realised.

According to S.S. Kohli, chairman, India Infrastructure Finance Co Ltd, who also attended the meeting with the finance minister, banking institutions are totally immune to the current meltdown but are refusing to lend to industry as it is in the grip of a severe confidence crisis. “It will take some time for banks to rebuild their confidence on industry to broaden their lending,” says Kohli. How much time it will take is anybody’s guess, as is also the ideal lending rate for the economy to bounce back. Subir Gokarn, chief economist, S&P’s Asia Pacific, thinks a lot would depend on what signals the Budget throws up. A strong indication on tackling the fiscal deficit and improving spending could cheer up the banks, according to Gokarn. It is obvious that with pressure building on the Government and the banks, both will have to walk the talk on taking growth to 9 per cent. Till then industry can only wait. ■